

(1) (a) Nominal, (b) Ordinal, (c) Continuous.

(2) (a) $E(\hat{p}_i) = \frac{n p_i}{n} = p_i$, (b) $\text{Var}(\hat{p}_i) = \frac{n p_i (1-p_i)}{n^2} = \frac{p_i (1-p_i)}{n}$

(b) $P(X_1 = x_1, X_2 = x_2) = \frac{n!}{x_1! x_2! (n-x_1-x_2)!} p_1^{x_1} p_2^{x_2} (1-p_1-p_2)^{n-x_1-x_2}$, $x_1 \geq 0$
 $x_2 \geq 0$
 $x_1 + x_2 \leq n$

(c) $E(X_1 X_2) = \sum_{x_1, x_2 \geq 0} \sum_{x_1+x_2 \leq n} \frac{x_1 x_2 n!}{x_1! x_2! (n-x_1-x_2)!} p_1^{x_1} p_2^{x_2} (1-p_1-p_2)^{n-x_1-x_2}$
 $= \sum_{x_1-1, x_2-1 \geq 0} \sum_{x_1-1+x_2-1 \leq n-2} \frac{p_1 p_2 n(n-1)(n-2)}{(x_1-1)! (x_2-1)! ((n-2)-(x_1-1)-(x_2-1))!} p_1^{x_1-1} p_2^{x_2-1} (1-p_1-p_2)^{(n-2)-(x_1-1)-(x_2-1)}$
 $= n(n-1) p_1 p_2$

$\text{cov}(X_1, X_2) = E(X_1 X_2) - E(X_1) E(X_2) = -n p_1 p_2$

$\text{cov}(\hat{p}_1, \hat{p}_2) = \frac{-p_1 p_2}{n}$

(d) $\text{Var}(\hat{p}_1 - \hat{p}_2) = \text{Var}(\hat{p}_1) - 2\text{cov}(\hat{p}_1, \hat{p}_2) + \text{Var}(\hat{p}_2)$
 $= \frac{(p_1 + p_2) - (p_1 - p_2)^2}{n} = \sigma^2$

(e) $Z = \sqrt{n} \sqrt{\frac{3}{2}} (\hat{p}_1 - \hat{p}_2)$ under $H_0, p_1 = p_2$
 $\sigma^2 = \frac{2}{3n}$

Reject H_0 for $|Z| \geq z_{1-\alpha/2}$